

Contoso Corp Retirement Savings Plan Guide

Plan Overview

The Contoso Corp Retirement Savings Plan (the CRSP, sometimes referred to internally as the 401(k) Plan) is a tax-qualified defined contribution plan administered under Section 401(k) of the Internal Revenue Code. It is the primary long-term savings vehicle Contoso Corp offers to eligible employees in the United States, and it operates alongside the health and welfare programs described in the Contoso Corp Health and Welfare Benefits Guide and the pay structures described in the Contoso Corp Compensation and Pay Practices Policy. Employees in Dublin participate in the separate Contoso Ireland Pension Scheme, and employees in Canada participate in the Contoso Group RRSP; neither of those arrangements is described in this guide.

The CRSP is recordkept by Fidelity Workplace Solutions and trustee by Northern Trust Company, with Contoso Corp acting as plan sponsor and the Contoso Corp Retirement Plan Committee (comprising the Chief Financial Officer, the VP of Total Rewards, the VP of Finance, and two employee representatives elected annually) acting as named fiduciary. The Committee meets quarterly to review plan performance, fund lineup, recordkeeper service levels, and fee benchmarking, and it publishes a summary of its findings to all participants each year in the fourth quarter alongside open enrollment materials referenced in the Contoso Corp Health and Welfare Benefits Guide.

Contoso Corp funds the plan through a combination of employee elective deferrals, employer matching contributions, and, in years the Board of Directors approves it, a discretionary profit-sharing contribution. This guide addresses the elective deferral and matching components; discretionary profit-sharing, when declared, is communicated separately each February through a dedicated memo from the Total Rewards team and is not guaranteed in any plan year.

The plan year runs from January 1 through December 31 and does not follow the Contoso Corp fiscal year, which begins July 1. All contribution limits, compensation caps, and testing thresholds described in this guide are applied on a calendar-year basis regardless of an employee's hire date or the fiscal quarter in which they join Contoso Corp.

The CRSP is intended to satisfy the safe harbor requirements of Internal Revenue Code Section 401(k)(12), which means the plan is designed to automatically pass certain annual nondiscrimination tests (the Actual Deferral Percentage and Actual Contribution Percentage tests) so long as Contoso Corp makes the safe harbor matching contribution described later in this guide to all eligible participants. This safe harbor design benefits all participants, including highly compensated employees, by removing the risk of contribution refunds that can otherwise occur under non-safe-harbor plans.

Participants may access their account balances, contribution elections, investment elections, and beneficiary designations at any time through the Fidelity NetBenefits portal at netbenefits.com, or by

calling the Fidelity Retirement Service Center. Contoso Corp does not have access to individual participant investment elections and cannot make trades, change elections, or process distributions on a participant's behalf; all such requests must be initiated by the participant directly with Fidelity.

This guide is a summary of plan features for convenience and onboarding purposes. In the event of a discrepancy between this guide and the official Plan Document and Summary Plan Description (SPD) filed with the Department of Labor, the Plan Document and SPD control. Both documents are available on request from the Total Rewards team at retirement@contoso-corp.example or through the Fidelity NetBenefits portal under Plan Information.

Contoso Corp reserves the right to amend, suspend, or terminate the CRSP at any time, subject to applicable law and any vesting rights already accrued by participants as of the effective date of an amendment. Material changes affecting contribution formulas, vesting schedules, or the safe harbor design are communicated to all participants no fewer than 30 days before the change takes effect, consistent with the notice requirements described in the Contoso Corp Employee Handbook.

Independent financial advice is not provided by Contoso Corp, the Retirement Plan Committee, or any Contoso Corp employee acting in an official capacity. Participants seeking individualized investment or tax advice should consult a licensed financial advisor or tax professional; Fidelity also makes complimentary one-on-one planning consultations available to all participants through the NetBenefits portal.

Annual plan fees, including recordkeeping, trustee, and audit fees, are disclosed each August in the plan's Fee Disclosure Notice, distributed electronically through NetBenefits and, on request, in paper form. A portion of recordkeeping fees is paid directly by Contoso Corp as plan sponsor, and the remaining portion is charged pro rata against participant account balances as a flat quarterly recordkeeping fee, separate from the underlying expense ratios charged by individual investment funds in the core lineup. Participants can view a personalized breakdown of fees charged against their account on the Fee Summary tab of NetBenefits.

The CRSP is audited annually by an independent public accounting firm as required for plans with more than 100 eligible participants, and Contoso Corp files Form 5500 with the Department of Labor and the IRS each year reflecting plan assets, participant counts, and contribution activity. A copy of the most recent Form 5500 and the Summary Annual Report are available to any participant on request from the Total Rewards team and are also posted to the internal HR portal each autumn alongside the annual Committee summary described earlier in this section.

Eligibility and Enrollment

All regular full-time and part-time employees of Contoso Corp who are paid through the United States payroll system and are age 21 or older are eligible to make elective deferrals to the CRSP beginning on the first day of the calendar month following their date of hire. There is no minimum hours-worked or minimum service requirement for elective deferral eligibility beyond the 21-and-older age requirement and the one-month administrative waiting period.

Interns, seasonal employees, and temporary staff placed through a third-party staffing agency are not eligible to participate in the CRSP, consistent with the employment classifications defined in the Contoso Corp Employee Handbook. If a temporary employee converts to a regular full-time or part-time role, their CRSP eligibility waiting period begins on the date of conversion, not their original start date, unless the conversion occurs within the same calendar month as hire.

New employees are automatically enrolled in the CRSP at a 4 percent pre-tax elective deferral rate unless they affirmatively elect a different rate, elect a Roth deferral instead, or opt out entirely, within the 30-day window following their eligibility date. Automatic enrollment notices are delivered electronically through Fidelity NetBenefits and by physical mail to the employee's address of record no later than 15 days before the eligibility date, in compliance with the Qualified Default Investment Alternative notice requirements under ERISA Section 404(c)(5).

Employees who take no action during the 30-day window are enrolled at the 4 percent default rate, with contributions directed to the age-appropriate Fidelity Freedom Index Target Date Fund based on an assumed retirement age of 65, as described further in the Contribution Limits section of this guide. Employees may change their deferral rate, investment elections, or opt out of the plan entirely at any time after automatic enrollment takes effect; there is no lock-in period.

Contoso Corp applies an automatic annual escalation feature to all participants who were automatically enrolled and have not affirmatively opted out of escalation. Each April 1, the deferral rate for these participants increases by 1 percentage point, up to a maximum automatic escalation rate of 10 percent. Participants may disable escalation, change the escalation increment, or set a different escalation ceiling at any time through NetBenefits.

Employees who affirmatively enroll (rather than relying on automatic enrollment) may elect any whole-percentage deferral rate from 1 percent to 75 percent of eligible compensation, subject to the annual IRS contribution limits described in the Contribution Limits section, and may split their deferral between traditional pre-tax and Roth after-tax contributions in any combination that sums to their total elected rate.

Eligible compensation for purposes of calculating deferrals and the employer match includes base salary, sales commissions, and shift differentials, but excludes signing bonuses, relocation payments, severance, and the value of equity compensation described in the Contoso Corp Compensation and Pay Practices Policy. Overtime pay is included for non-exempt employees.

Enrollment elections, once made, take effect on the next administratively practicable payroll cycle, which is typically the second full pay period after the election is submitted, due to payroll file transmission timing between ADP and Fidelity. Employees changing employee status mid-year, such as moving from part-time to full-time, do not need to re-enroll; their existing elections carry forward automatically.

Rehired employees who previously participated in the CRSP and are rehired within 12 months of their termination date have their prior deferral election and investment elections automatically reinstated, unless they affirmatively elect otherwise. Rehires outside the 12-month window are treated as new hires for eligibility and automatic enrollment purposes.

Newly eligible employees who have a retirement account balance with a prior employer's 401(k), 403(b), or governmental 457(b) plan, or with a traditional or SEP IRA, may roll those balances into the CRSP once their eligibility date has been reached. Rollover contributions are accepted at any time during the year, are not subject to the automatic enrollment waiting period, and are immediately 100 percent vested regardless of the participant's own vesting status on other account sources. Rollover requests are initiated directly with Fidelity using the Rollover Contribution form available on NetBenefits, and Contoso Corp encourages new hires to complete rollovers within 60 days of their prior plan distribution to avoid mandatory tax withholding on indirect rollovers.

Employees transferring internally between the Northlake headquarters, the Austin office, and Dublin retain their CRSP eligibility and vesting service without interruption, provided the transfer keeps them on the United States payroll system; a transfer from Northlake or Austin to the Dublin office moves the employee onto the Contoso Ireland Pension Scheme instead, and their CRSP account is frozen (no further contributions) but remains invested and accessible through NetBenefits until the employee separates from Contoso Corp or transfers back to a United States-payroll role.

Beneficiary designations must be completed within 30 days of the eligibility date and can be updated at any time through NetBenefits. Married participants who wish to designate a primary beneficiary other than their spouse for more than 50 percent of their account must obtain notarized spousal consent using the form available from Fidelity, consistent with the joint-and-survivor annuity protections required under ERISA; participants who do not complete a beneficiary designation have their account distributed according to the plan's statutory default order (spouse, then children in equal shares, then estate) upon death.

Contribution Limits

Employee elective deferrals to the CRSP, whether traditional pre-tax, Roth after-tax, or a combination of both, are subject to the annual IRS elective deferral limit under Internal Revenue Code Section 402(g). For the 2026 plan year, that limit is 24,000 dollars. This limit is indexed for inflation by the IRS each year and Contoso Corp updates payroll systems automatically each January to reflect the new limit; participants do not need to take any action for the limit update itself.

Employees who are age 50 or older by December 31 of the plan year may make additional catch-up contributions above the standard elective deferral limit. For the 2026 plan year, the catch-up contribution limit is 8,000 dollars, bringing the maximum combined elective deferral for an employee age 50 or older to 32,000 dollars. Catch-up eligibility is determined automatically by Fidelity based on date of birth on file; employees do not need to make a separate catch-up election, though they may cap their catch-up contributions below the maximum if they choose.

Beginning with the plan year in which an employee turns 60, 61, 62, or 63, an enhanced catch-up contribution limit applies under the SECURE 2.0 Act, set at 150 percent of the standard age-50 catch-up limit. For 2026, this enhanced limit is 12,000 dollars, bringing the maximum combined elective deferral for employees in this age band to 36,000 dollars. This enhanced catch-up window closes at the start of the plan year in which the employee turns 64, at which point the standard age-50-and-older catch-up limit resumes.

Employees whose prior-year Contoso Corp W-2 compensation exceeded the IRS highly compensated employee threshold (135,000 dollars for purposes of 2026 testing) and whose current-year plan compensation exceeds 150,000 dollars are subject to the SECURE 2.0 Roth catch-up requirement: all catch-up contributions for these employees must be made on a Roth after-tax basis beginning in the 2026 plan year. Fidelity's payroll integration automatically redirects catch-up contributions to the Roth source for affected employees; the Total Rewards team notifies impacted employees individually each December.

Total contributions to a participant's CRSP account from all sources combined, including employee elective deferrals, employer matching contributions, and any discretionary profit-sharing contribution, are subject to the overall IRC Section 415(c) annual additions limit, which is 72,000 dollars for the 2026 plan year, or 100 percent of the participant's eligible compensation if lower. Catch-up contributions are not counted toward this combined limit. It is rare for a participant to approach this combined limit given Contoso Corp's match formula, but employees who also participate in a side business's solo 401(k) or another unrelated employer's plan during the same calendar year should coordinate their aggregate contributions across all plans, since the elective deferral limit under Section 402(g) applies per individual across all employers, not per plan.

For highly compensated employees, eligible compensation used to calculate both elective deferrals and the employer match is capped at the IRC Section 401(a)(17) annual compensation limit, which is 360,000 dollars for the 2026 plan year. Compensation above this threshold is disregarded entirely for plan purposes, including for calculating the employer match described in the Company Matching Contributions section.

Traditional pre-tax contributions reduce a participant's current-year taxable income and grow tax-deferred until withdrawal, at which point both contributions and earnings are taxed as ordinary income. Roth after-tax contributions are made with income that has already been taxed, and both contributions and qualified earnings are withdrawn entirely tax-free in retirement, provided the participant is at least 59 and a half years old and has held the Roth source for at least five tax years. Employer matching contributions are always made on a traditional pre-tax basis, even when matched against a participant's Roth deferrals, and are taxed as ordinary income upon withdrawal.

Participants who inadvertently exceed the Section 402(g) elective deferral limit, typically due to mid-year employment with another employer, must notify the Fidelity Retirement Service Center no later than March 1 of the following year to request a corrective distribution of the excess deferral and associated earnings before the April 15 tax filing deadline, in order to avoid double taxation on the excess amount.

Investment elections for both employee deferrals and employer contributions default to the Fidelity Freedom Index Target Date Fund closest to the participant's assumed retirement year (age 65), unless the participant makes an affirmative election among the 22 funds in the core lineup, which spans index and actively managed options across US equity, international equity, fixed income, a stable value fund, and a self-directed brokerage window available to participants with an account balance of at least 5,000 dollars. Participants may change investment elections and reallocate existing balances on any business day, subject to a 30-day round-trip trading restriction on certain

actively managed international funds designed to discourage short-term market timing.

Employees on approved leave under the Contoso Corp Parental and Family Leave Policy continue to accrue CRSP eligibility service during the leave period, and any portion of leave that is paid through Contoso Corp's short-term disability or parental leave pay continues to have elective deferrals withheld at the participant's existing election unless the participant changes it. During unpaid portions of leave, no elective deferrals are withheld because there is no compensation to withhold from, and no employer match accrues for those unpaid weeks, but the leave period itself does not create a break in vesting service under the Vesting Schedule described later in this guide.

Company Matching Contributions

Contoso Corp makes a safe harbor matching contribution to the CRSP on behalf of every eligible participant who makes an elective deferral during the plan year, regardless of whether the participant is still actively employed on the last day of the plan year. The match formula is 100 percent of the first 3 percent of eligible compensation deferred, plus 50 percent of the next 2 percent of eligible compensation deferred, for a maximum possible employer match of 4 percent of eligible compensation when a participant defers 5 percent or more.

For example, a participant earning 100,000 dollars in eligible annual compensation who defers 5 percent of pay (5,000 dollars) receives a match of 3,000 dollars (100 percent of the first 3,000 dollars deferred) plus 1,000 dollars (50 percent of the next 2,000 dollars deferred), for a total employer match of 4,000 dollars, or 4 percent of eligible compensation. A participant who defers only 2 percent receives a match of 2 percent, since the full match rate on the first tier is dollar-for-dollar; a participant who defers 10 percent still receives only the maximum 4 percent match, since the formula does not extend beyond the 5 percent deferral tier.

Because the CRSP is designed as a safe harbor plan, the matching formula and the fact that it is provided to all eligible participants (not just non-highly-compensated employees) satisfies IRC safe harbor requirements and eliminates the need for annual Actual Contribution Percentage testing, which in turn means highly compensated employees are not at risk of having contributions refunded after year-end testing, a risk that exists in many non-safe-harbor 401(k) designs.

The employer match is calculated and funded on a per-payroll-period basis (true-up calculations are also performed, described below), meaning a participant who defers unevenly throughout the year, for example by front-loading contributions early in the year and reaching the Section 402(g) limit before December, could receive a lower total match than the formula would suggest if match were calculated only on an annual basis. To prevent this outcome, Contoso Corp performs an annual true-up calculation each February, comparing the match each participant actually received per-payroll-period against the match they would have received had their total annual deferral been spread evenly across all pay periods, and deposits any shortfall as a true-up contribution.

The true-up contribution is calculated using full-year eligible compensation and full-year deferral totals, and is deposited into affected participant accounts by February 28 of the following year. Participants who terminate employment before the true-up calculation date but were employed for the

full prior plan year remain eligible for a true-up contribution if the payroll-period matching resulted in a shortfall; the true-up is mailed or deposited to the account on file regardless of active employment status at the time of calculation.

Matching contributions are subject to the same IRC Section 401(a)(17) compensation cap described in the Contribution Limits section (360,000 dollars for 2026), meaning eligible compensation above that threshold is disregarded when calculating both the participant's deferral percentage and the resulting match, even for participants whose actual base salary or commissions substantially exceed the cap.

Employees on leave under the Contoso Corp Parental and Family Leave Policy who continue to defer during paid portions of leave continue to receive the corresponding employer match on those paid deferrals. No match accrues during unpaid leave periods, since match is calculated only against actual elective deferrals, and there are no deferrals during unpaid weeks; however, the annual true-up calculation described above ensures the participant still receives the full match they are entitled to based on their annual deferral rate applied to the compensation they actually received during the year.

In years the Board of Directors declares a discretionary profit-sharing contribution, that contribution is allocated to eligible participants pro rata based on eligible compensation, independent of the participant's own deferral rate or the safe harbor match formula. Discretionary profit-sharing contributions, when made, are typically funded in March of the following year after the prior fiscal year's financial results are finalized, and are subject to the graded vesting schedule described in the Vesting Schedule section, unlike the safe harbor match, which is always immediately vested.

New hires who roll over a balance from a prior employer's plan do not receive any employer match on the rollover amount itself; matching contributions apply only to new elective deferrals made to the CRSP after the participant's eligibility date.

Contoso Corp reviews the matching formula annually as part of its total rewards benchmarking process described in the Contoso Corp Compensation and Pay Practices Policy, comparing the CRSP match against peer technology and professional services companies of similar size. Any change to the match formula requires Retirement Plan Committee approval and, per IRC safe harbor notice rules, must be communicated to all participants at least 30 days before the plan year in which the change takes effect.

Match deposits are visible on NetBenefits within two business days of each payroll cycle, appearing as a separate transaction line labeled Employer Match, distinct from the participant's own deferral transaction. Participants who believe their match was calculated incorrectly, for example due to a compensation coding error between eligible and non-eligible pay types, should contact the Total Rewards team at retirement@contoso-corp.example, who will work with Fidelity and payroll to research and, if warranted, correct the discrepancy retroactively, typically within one full payroll cycle of the report being filed.

Vesting Schedule

Employee elective deferrals of any kind, whether traditional pre-tax or Roth after-tax, are always 100 percent vested immediately upon contribution. No participant ever forfeits any portion of their own deferrals, regardless of length of service or reason for termination.

Because the CRSP is a safe harbor plan, the safe harbor matching contribution described in the Company Matching Contributions section is also 100 percent vested immediately upon contribution. This is a legal requirement of safe harbor plan design under IRC Section 401(k)(12) and is not discretionary; Contoso Corp cannot impose a vesting schedule on safe harbor match contributions even if the Retirement Plan Committee wished to do so.

Rollover contributions from a prior employer's qualified plan or IRA, as described in the Eligibility and Enrollment section, are likewise 100 percent vested immediately, since they represent the participant's own previously vested and after-tax or pre-tax assets rather than a new employer contribution.

The only plan source subject to a vesting schedule at Contoso Corp is the discretionary profit-sharing contribution described in the Company Matching Contributions section, which the Board of Directors may declare in years of strong financial performance. Discretionary profit-sharing contributions vest according to a three-year graded schedule: 0 percent vested with less than one year of vesting service, 34 percent vested after one year of vesting service, 67 percent vested after two years of vesting service, and 100 percent vested after three or more years of vesting service.

Vesting service is measured in complete 12-month periods of employment beginning on the participant's original date of hire, and is credited regardless of full-time or part-time status, so long as the employee is classified as a regular employee under the Contoso Corp Employee Handbook and works at least 1,000 hours in the relevant 12-month period. Employees who work fewer than 1,000 hours in a given 12-month period do not receive a vesting service credit for that period, though this rarely affects regular full-time employees.

Approved leave under the Contoso Corp Parental and Family Leave Policy, whether paid or unpaid, does not interrupt vesting service. Employees returning from an approved leave of absence resume accruing vesting service immediately upon return, and the leave period itself counts toward the 1,000-hour threshold using an hours-equivalency calculation based on the employee's regularly scheduled hours immediately prior to the leave, so that an employee on extended parental leave is not disadvantaged in vesting relative to an employee who did not take leave.

A participant whose employment terminates before reaching full vesting on discretionary profit-sharing contributions forfeits the unvested portion of that account source as of the date their account is distributed or, if earlier, as of the date the participant incurs five consecutive one-year breaks in service. Forfeited amounts remain in the plan trust and are used, at the Retirement Plan Committee's discretion, either to reduce future employer contributions or to offset reasonable plan administrative expenses, consistent with the plan's Forfeiture Reallocation Policy filed with the Plan Document.

Participants who are rehired before incurring five consecutive one-year breaks in service have their prior vesting service reinstated in full, meaning a rehired employee resumes at the same vesting

percentage they had achieved before terminating, rather than starting the three-year graded schedule over. Rehires who return after five or more consecutive one-year breaks in service begin accruing vesting service fresh from their rehire date, and any previously forfeited discretionary profit-sharing amounts are not restored.

A participant becomes 100 percent vested in all plan sources, including any unvested discretionary profit-sharing balance, immediately upon reaching normal retirement age (65), upon death, or upon becoming permanently and totally disabled while employed by Contoso Corp, regardless of the participant's years of vesting service at the time of the qualifying event.

Vested account balances, once a participant separates from Contoso Corp, may be left in the CRSP if the balance exceeds 7,000 dollars, rolled over to an IRA or a new employer's qualified plan, or distributed as a lump sum subject to ordinary income tax and, if the participant is under age 59 and a half, a 10 percent early withdrawal penalty unless an exception applies. Participants may also take a loan against their vested account balance, up to the lesser of 50,000 dollars or 50 percent of their vested balance, repayable through payroll deduction over a term of up to five years (or up to 15 years if the loan is used to purchase a primary residence), and may apply for a hardship withdrawal of vested amounts in cases of documented immediate and heavy financial need, such as preventing eviction, covering unreimbursed medical expenses, or funding a first-time home purchase, consistent with IRS safe harbor hardship distribution criteria.